

near the yearly high almost half the time. Bear markets see the breakout price hibernating in the middle of the yearly price range most often.

Mapping performance over the yearly price range doesn't see any statistically significant differences.

Pullbacks. A pullback occurs after a downward breakout. Price must return to the breakout price within a month by definition. The table says that price drops 7% to 10% in 6 days and then returns to the breakout price in a round-trip total of 12 days.

Table 6.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L -17%, M-17%, H -16%	L -23%, M -22%, H -22%
Pullback occurrence	67%	63%
Average time to pullback bottoms	-7% in 6 days	-10% in 6 days
Average time to pullback ends	12 days	12 days
Average decline for patterns with pullbacks	-16%	-20%
Average decline for patterns without pullbacks	-19%	-27%
Percentage price resumes trend	60%	55%
Performance with breakout day gap	-17%	-23%
Performance without breakout day gap	-16%	-22%
Average gap size	\$0.85	\$0.48

Patterns without pullbacks perform better than do those with pullbacks. That behavior is not unique to big Ms; we've seen it in other species of chart patterns. After a pullback completes, it resumes dropping 55% to 60% of the time on average.